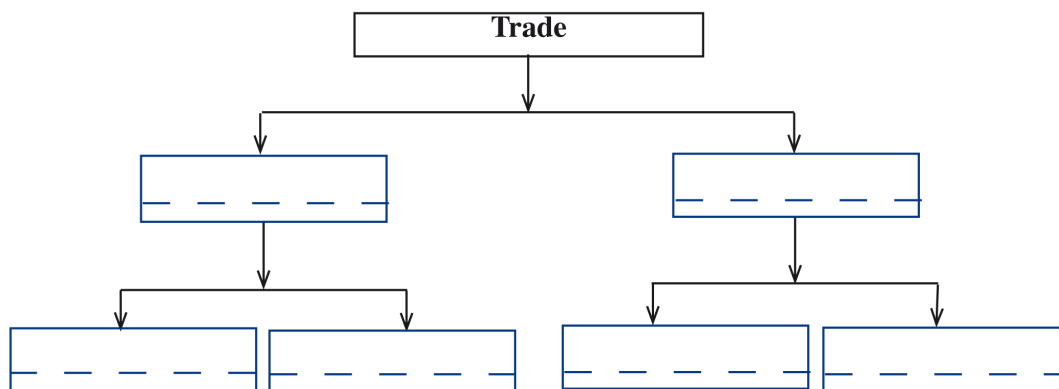




3.28 BUSINESS STUDIES (565)

3.28.1 Business Studies Paper 1 (565/1)

- 1 Outline **four** ways in which business studies may be of benefit to an individual. (4 marks)
- 2 Highlight **four** external factors that may negatively influence the operations of a business. (4 marks)
- 3 State **four** characteristics of a successful entrepreneur. (4 marks)
- 4 State **four** functions of an office. (4 marks)
- 5 Fill the relevant branches of trade in the diagram given below: (3 marks)



- 6 The participants in a two sector economy are households and firms. Identify the relevant participant in each of the statements given below: (4 marks)

Statement	Participant
a ☐ Payment for goods and services	a ☐
b ☐ Sale of factors of production	b ☐
c ☐ Payment for factors of production	c ☐
d ☐ Sale of goods and services	d ☐

- 7 The following balances were extracted from the books of Wekesa Traders on 31st December, 2009.

Items	Shs
Capital	☐ ☐ ☐ ☐ ☐ ☐
Cash ☐ ☐ ☐ ☐ ☐ ☐	☐ ☐ ☐ ☐ ☐ ☐
Buildings	☐ ☐ ☐ ☐ ☐ ☐
Furniture	☐ ☐ ☐ ☐ ☐ ☐
Motor ☐ ehicle	☐ ☐ ☐ ☐ ☐ ☐
Creditors	☐ ☐ ☐ ☐ ☐ ☐
Debtors	☐ ☐ ☐ ☐ ☐ ☐
Bank	☐ ☐ ☐ ☐ ☐ ☐
Bank ☐ an	☐ ☐ ☐ ☐ ☐ ☐

Using the above information, prepare Wekesa Trader's Trial Balance on 31st December, 2009. (5 marks)



- 8 The following information relates to Karibu traders for the year ended 31st December 2008.

Details	Shs
Fixed Assets	□□□□□□□□
Current Assets	□□□□□□
Long term Bank loan	□□□□□□
Current Liabilities	□□□□□□

Determine owner's capital using the information given above. (4 marks)

- 9 State the type of unemployment relating to each of the following descriptions: (4 marks)

- Caused by alternating trading patterns occurring at similar times.
- Arises where workers have more skills and higher qualifications than the job requirements.
- Arises out of a mismatch between the skills possessed by potential employees and the location of the jobs available.
- Arises when people are unwilling to take up jobs due to low pay.

- 10 Highlight **four** circumstances under which the capital of a business may change. (4 marks)

- 11 Below are some entries in the cash book of Romano Traders for the month of July 2010.

Dr CASH BOOK Cr

Date	Details	Cash	Bank	Date	Details	Cash	Bank
□□□□□		Shs□	Shs□			Shs□	Shs□
July□□	Bal b/d	□□□□□		July□□	Bal b/d		□□□□□
July□□	Cash		□□□□□	July□□	Bank	□□□□□	
July□□□	Sales		□□□□□	July□□□	Wages	□□□□	
July□□□	Debtors	□□□□□		July□□□	Stock		□□□□□
				July□□□	Bal c/d	□□□□□	

State the meaning of the following entries: (4 marks)

- July 1, 2010 Balance b/d, bank column, shs 100,000
- July 6, 2010 cash shs 20,000 and bank shs 20,000
- July 28, 2010 debtors shs 20,000
- July 31, 2010 Balance c/d shs 10,000



- 12 Outline **one** circumstance under which each of the following source documents may be issued by a trader: (4 marks)
- (a) Debit note
- (b) Invoice
- (c) Credit note
- (d) Quotation
- 13 Name **four** documents that may be required by the registrar of companies in order to register a public limited company. (4 marks)
- 14 Outline **four** measures that a country can take to reduce the level of inflation. (4 marks)
- 15 Outline **four** factors that may make a producer to by-pass the wholesaler when distributing goods. (4 marks)
- 16 Highlight **four** benefits that a country would get by developing her infrastructure. (4 marks)
- 17 State **four** benefits of a bonded warehouse to the government. (4 marks)
- 18 Outline **four** qualities of a successful salesperson. (4 marks)
- 19 Highlight **four** factors that may cause the supply curve to shift to the right. (4 marks)
- 20 Outline **four** positive effects that production activities may have on community health. (4 marks)
- 21 State **four** basic features of a market. (4 marks)
- 22 Outline **four** features of a parastatal. (4 marks)
- 23 Outline **four** circumstances in which the government may be involved in business. (4 marks)
- 24 Highlight **four** factors that a trader may consider when choosing a means of transport. (4 marks)
- 25 State **four** reasons for privatizing public corporations. (4 marks)